

Those Mexican CDs seemed like a good, medium-risk investment. Harry knew he was giving up the FDIC guarantee he enjoyed back home. But he chose solid Mexican banks. And Harry was investing in dollars, not pesos. That protected him against devaluation.

Unfortunately for Harry and others, in 1982 the Mexican government confiscated roughly half of Mexico's dollar deposits. Harry, who had built his CDs up to \$140,000 by rolling interest and principal, lost nearly \$70,000.

Some Mexicans object to the word *confiscate*. What the government did was impose exchange controls. Banks were ordered to convert dollar CDs to pesos at the official exchange rate. When Harry withdrew the pesos and went to buy dollars in the open market, he found a market exchange rate nearly double the official rate. With the pesos he got from his CDs, he could buy only U.S. \$70,000. His money may not have been "confiscated," but you'll never convince Harry of that. Harry thinks he got ripped off.

Some people haven't learned from the experience of Harry and others. As of this writing, Mexico has lifted most of its exchange controls. Thousands of U.S. investors are pouring millions of dollars into Mexican banks. Many of those investors are retired, living in Mexico all or part of the year. I feel sorry for them. It's only a matter of time until Mexico reinstates some sort of exchange control. When that happens, those investors are going to lose.

CDs in foreign banks are the kind of no-nos I call medium-risk investments. So are municipal bonds issued by poor or bankrupt cities, CDs without guarantees by a U.S. government agency, many mutual funds, second mortgages, and personal loans. In most cases those investments offer only slightly higher returns but unknown risk. Avoid them. The small extra return—usually no more than 2 or 3 percentage points—can't justify the risk, however small that risk appears to be.

High-risk investments contrast with medium-risk invest-